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Bloomberg Intelligence

Microsoft Equity Research


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Outlook

Microsoft's Cut to Claude Use Likely Due to Cost Pressure: React

(Bloomberg Intelligence) -- RECENT EVENT REACTION: Microsoft cutting back on use of Claude internally, as reported by the Information, was likely driven by rising cost pressures from AI infrastructure expansion, with our calculations suggesting that the software provider will spend more than $200 billion, including leases, over the next 12 months. Bloomberg News in July reported that Microsoft had changed certain OpenAI models in its M365 productivity applications with its internal models, so the latest report wasn't surprising. Microsoft is likely to offer greater model choices and flexibility to enterprise clients that may not want to deploy frontier models for M365 subscriptions. (10/06/26)

Microsoft Early AI Push Fuels Solid Cloud Growth: Equity Outlook

THESIS: Microsoft's early AI investments are driving solid cloud sales, with momentum set to persist for at least 12-18 months. Though OpenAI has been key to powering some of its initial AI products, Microsoft's vast distribution network will likely play a more critical role, along with its willingness to integrate models from multiple providers across its ecosystem. We anticipate calendar 2026 capital spending -- including finance leases -- to rise 47% to $175 billion, further driving Azure cloud growth. Meanwhile, higher memory prices may pressure its highly profitable Windows segment amid a decline in global PC shipments. (07/30/26)

Key Topics Summary

Key Beneficiary of AI Adoption: Microsoft's broad enterprise distribution, cloud scale and expanding model options give it greater AI opportunity than most software peers while limiting disruption risk. Its entrenched position across Azure, Microsoft 365, Windows and GitHub provides multiple paths to monetize AI through infrastructure and applications. As models become more interchangeable, Microsoft's control of key enterprise distribution channels can capture more of the economic value while reducing dependence on any single model provider.

Open Models Help AI Diffusion: Greater proliferation of open large- and small-language models should be a long-term positive for hyperscale cloud providers, as lower costs, greater model choice and reduced dependency on frontier labs accelerate AI diffusion across industries. The pending $13 billion acquisition of Hugging Face by Nvidia and the recent success of open-weight AI models like Kimi K3 can accelerate the adoption of open models, and AI in general.

Capex Worries Gets Some Relief: Microsoft's free-cash-flow commitment for fiscal 2027 and flexibility on AI spending provide near-term reassurance that its record infrastructure build-out can stay financially disciplined. A shift toward shorter-lived assets, greater use of in-house Maia chips and lower-cost models should improve capital efficiency, while OpenAI access and the new M365 E7 suite support AI and productivity growth.

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Likely to Surpass AWS in Cloud: Microsoft's strong cloud infrastructure positioning will likely remain intact over the next few years, driven by several factors from increased enterprise AI workloads to greater consumer use of ChatGPT. Our calculations suggest Azure sales will surpass Amazon Web Services over the next 3-4 years and become the top cloud infrastructure vendor, as total industry sales top $1.4 trillion by 2030.

Xbox Eyes Better Monetization: Microsoft's Xbox growth is shifting from console adoption to engagement, as Game Pass price sensitivity, content cannibalization and rising hardware costs limit the old business model. AI, cloud gaming, mobile reach and advertising give Xbox more ways to monetize time spent across devices at a time when an industry content glut makes monetization a bigger growth lever than new-title volume.

Financial Review

Earnings

Microsoft AI Sales Hasten; Flat Capex Solid: Earnings Outlook

Post-4Q Earnings Outlook: Microsoft's above-consensus fiscal 4Q26 Azure growth of 43% in constant currency and subsequent comments indicating further improvement in 1H27 can quell concern the cloud provider is an AI laggard. Management's decision to keep its calendar 2026 capital-spending outlook flat after accounting changes is also commendable and shows better management of higher component costs. A $45 billion sequential increase in commercial remaining performance obligations, to $678 billion, also stands out, with the entire incremental amount coming from nonfrontier-model clients and showing reduced dependence on OpenAI.

M365 Copilot reaching 30 million paid seats from 20 million in 3Q was solid and unexpected, highlighting a far stronger reception for its latest suite, which bodes well for the segment's sales growth in 2027. (07/30/26)

Highlights From Recent Results:

- Sales Up 17% to $90 Billion in Constant Currency (CC) vs. Consensus' 14%
- Adjusted Diluted EPS Rose 30% to $4.74 as Operating Margin Expanded
- Operating Margin Climbed Roughly 20 Bps to 45.1%, With Lower Total Operating Expenses as a Percentage of Revenue
- Azure Growth in CC of 43% vs. 39% a Year Ago, With Greater Data-Center Capacity Coming Online
- Capital Spending $41 Billion, Up From $31.9 Billion in 3Q26; Finance Leases in 4Q Were $5.6 Billion

Additional Resources:

- Earnings Release | DOCC »
- Earnings Call Transcript | DOCV »

Long-Term Drivers

Microsoft Sales to Accelerate on Azure Strength, AI Adoption

Microsoft will likely see near-term revenue growth accelerate into the midteens or higher, driven by cloud strength and business diversity. The company is poised to offset any pressure on profitability amid modest headcount expansion and disciplined operating-expense management, as well as robust internal AI adoption. Its revamped agreement with OpenAI solidifies Azure's position as the destination for applications built on OpenAI's technology stack, helping sustain Intelligent Cloud growth above 25% despite the model provider's new pact with AWS. The Productivity and Business

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Processes segment should remain stable and grow by low-double digits, aided by Microsoft 365 Copilot. (07/03/26)

Bloomberg Interactive Model (Click to Open)

Microsoft Corp
MSFT US

Bloomberg Interactive Model V2.1

Microsoft Corp

	2024	2025	2026	2027	2028
Key Drivers					
Productivity & Business Process					
Microsoft 365 Commercial Products & Cloud Services	76,969	87,767	101,378	114,354	129,335
Y/Y Change	*15.0%*	*14.0%*	*15.5%*	*12.8%*	*13.1%*
Consensus - YoY Growth			14.7%	10.7%	10.2%
Intelligent Cloud					
Server Products & Cloud Services	79,828	98,435	127,084	171,563	223,032
Y/Y Change	*22.8%*	*23.3%*	*29.1%*	*35.0%*	*30.0%*
Consensus - YoY Growth			29.0%	24.7%	28.7%
Key Financial Metrics					
Total Revenue	245,122	281,724	325,864	389,034	461,750
Consensus			327,629	378,480	441,484
Revenue Growth YoY	15.7%	14.9%	15.7%	19.4%	18.7%
Consensus			16.3%	15.5%	16.6%
Operating Margin	44.6%	45.6%	47.2%	47.4%	49.0%
Consensus			45.7%	45.4%	45.5%
Diluted EPS	11.80	13.64	19.46	22.90	27.48
Consensus			16.90	19.01	22.41
Free Cash Flow	74,071	71,611	90,671	112,611	112,874
Consensus			69,105	81,736	99,264

The Bloomberg Interactive Model uses dynamic drivers - benchmarked against detailed consesus estimates or based on BI analyst scenarios that can be customized by users - to create an integrated three-statement financial model.

Source: Bloomberg Intelligence

Bloomberg Intelligence BI

Focus Idea

Leading Peers in AI Revenue

Microsoft AI Growth Holds Strong Despite Macro Woes: BI Focus

Microsoft's AI momentum remains robust, reinforcing our Focus Idea. Leading indicators continue to underpin our thesis, and 2H Office sales should improve with the launch of a new suite. A further pickup in AI-related revenue in 2H would reinforce Microsoft's earnings and growth outlook after valuation pressure since October tied to concerns that AI could disrupt software.

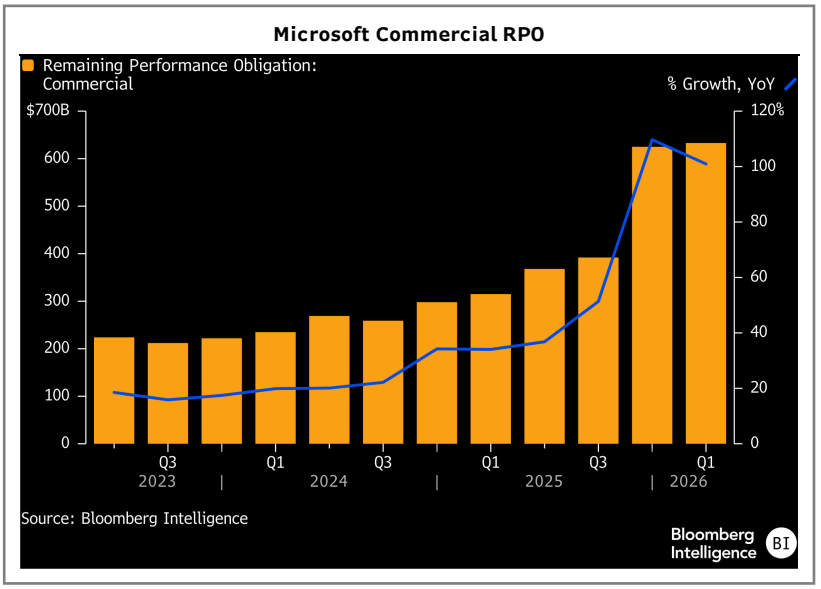
Original Thesis (Jan. 17, 2025): Microsoft sales growth may accelerate over the next 12-24 months, fueled by robust gen-AI investment, with our analysis showing calendar 2026 revenue $8-$10 billion above consensus' $338 billion. Our thesis assumes greater enterprise AI adoption, with OpenAI-Microsoft remaining the top LLM cloud provider despite growing competition from AWS and Google. Easing supply constraints may also hasten data-center construction. (05/20/26)

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Solid AI Monetization with Room to Grow

Microsoft is well ahead of peers in AI monetization, helped by its early lead as OpenAI's preferred cloud provider. The annualized revenue run rate for its AI business at the end of fiscal 3Q (March) was over $37 billion, and increased 123% from last year. We expect the pace of solid growth to continue throughout the year, especially as enterprise AI adoption broadens, and new pricing of M365 starts to contribute. Microsoft's commercial cloud backlog of $627 billion has an average duration of about 2.5 years, which underpins our confidence of strong AI growth in 2H. (05/20/26)



Catalysts Include AI, Easing Supply Pressure

We believe these catalysts could act as important triggers for this idea in coming months. (05/20/26)

Timeline of Key Catalysts:

- January 2025: Microsoft Likely to Indicate Easing Supply-Chain Constraints on Data-Center Construction (Missed)
- October 2025: Azure Sales Growth Could Rise Sequentially; Fiscal 2Q26 Guidance May Exceed Consensus (Missed)
- January 2026: Total AI Revenue Might Surpass $20 Billion Over Prior 12 Months, Azure Sales Reach $96.5 Billion, Based on Our Calculations (Surpassed)
- July 2026: Adjusted Operating Margin May Reach Around 45% in Fiscal 2026 vs. Flat to Slightly Down in Fiscal 2025
- January 2027: Total Sales Could Hit $346-$348 Billion Over Previous Four Quarters, $8-$10 Billion Above Consensus, With Around $38 Billion in AI Revenue

New M365 Pricing Plans Likely to Aid Revenue Growth

In addition to a strong cloud backlog, Microsoft's new M365 plan, launched May 1, supports continued mid- to high-double-digit sales growth. The new package includes Copilot and an agent control plane for security and observability, and is priced at $99 per user per month, 74% above the E5 bundle. Currently, there are only around 20 million paid users of Copilot, compared with a total universe of over 450 million users. Even assuming only half that universe can afford the new bundle, penetration remains below 10%. (05/20/26)

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M365 Offerings

Feature	Microsoft 365 F3	Microsoft 365 E3	Microsoft 365 E5	Microsoft 365 E7
Price (Monthly)	~$8	~$36	~$57	~$99
Desktop apps	No	Yes	Yes	Yes
Security	Core	Advanced	Premium	Premium + AI
Analytics	Basic	Basic	Power BI Pro	Power BI Pro + AI
Teams Phone	Add-on	Add-on	Included	Included
Bundled AI / agents	No	No	No	Included

Source: Bloomberg Intelligence

Bloomberg Intelligence BI

Tight Cost Control to Fuel Margin Expansion

Microsoft's fiscal 2026 and 2027 head count will probably remain below 2025 levels, even as sales climb about 15% annually. Consequently, adjusted operating margin will likely grow despite pressure on cloud gross margins from data-center expansion and revenue-mix shifts. As AI-infrastructure sales will most likely keep growing much faster than non-AI cloud sales, cloud gross margins stand to compress by 200-300 bps.

Higher memory and component costs could also pressure cloud gross margin in 2H. In addition to potential payroll reductions, we expect sales and marketing expenses to fall as a percentage of sales. (05/20/26)

Microsoft Head Count



Note: Fiscal Years ending 6/30
Source: Bloomberg Intelligence

Bloomberg Intelligence BI

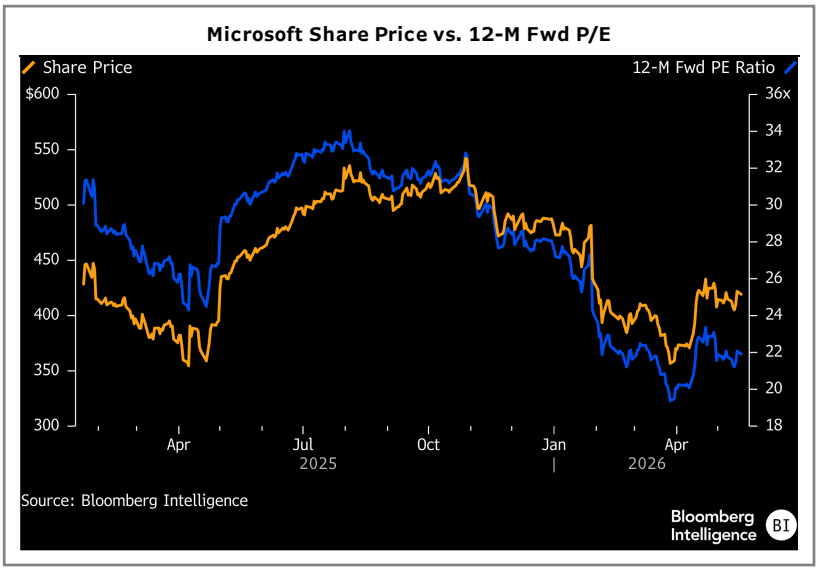
Software Categorization Driving Down Valuation

Microsoft's sales growth and AI contribution have steadily improved since we launched the focus idea, yet its share price is down slightly from Jan. 17, 2025, to May 18, 2026. Its forward 12-month price-to-earnings ratio fell to 22.1x from 30.1x over the same period, a compression of about 27%, which we attribute to its classification as a software provider and sector pessimism tied to fears that AI will disrupt software business models. However, we see low disruption risk for Microsoft's software assets,

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including Windows and Office. A potential improvement in Office sales in 2H could ease this pessimism. (05/20/26)



Key Topics

Key Beneficiary of AI Adoption

Microsoft AI Opportunity Higher Than Peers; Disruption Risk Low

Microsoft's broad enterprise distribution, cloud scale and expanding model options give it greater AI opportunity than most software peers while limiting disruption risk. Its entrenched position across Azure, Microsoft 365, Windows and GitHub provides multiple paths to monetize AI through infrastructure and applications. As models become more interchangeable, Microsoft's control of key enterprise distribution channels can capture more of the economic value while reducing dependence on any single model provider. (09/10/26)

High AI Opportunity, Low Disruption Risk

Microsoft has a "high rank" of AI opportunity and "low rank" of AI disruption in Bloomberg Intelligence's disruption framework. Microsoft's early partnership with OpenAI gave it access to some of the most powerful AI models, and remains the main cloud infrastructure provider for ChatGPT, the leading consumer AI app with over 1 billion monthly active users.

We believe Microsoft's vast distribution channel, especially among enterprises, is a unique advantage in accelerating AI adoption. Over time, we expect its productivity applications to use multiple AI models rather than solely OpenAI.

BI's AI disruption matrix looks at factors including the critical nature of the software, the provider's market share, network effects, whether the company is a platform or a point-product provider and if end customers are consumers and small businesses or large corporations. We think there's a low likelihood that enterprises shun Microsoft’s core products like Windows and Office, leaving it less susceptible to AI disruption. (09/10/26)

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AI-Disruption Risk, Opportunity Table

Company Name	AI Disruption Risk	AI Opportunity	Driving Factors: Critical System of Record?	Driving Factors: High Market Share	Driving Factors: Network Effects	Driving Factors: Platform/ Point Solution?	Main Customer Segment	Market Cap ($M)	Pct Chg from 52-Wk High	Primary Software Category
Application Software										
SAP SE	Low	Medium	y	y	n	Platform	Enterprise	245,915	-37.6%	ERP
Salesforce Inc	Low	High	y	y	n	Platform	Enterprise	173,495	-39.9%	CRM
Shopify Inc	Low	High	y	y	y	Platform	SMB/Mid	164,915	-30.8%	E-Commerce
ServiceNow Inc	Low	High	y	y	n	Platform	Enterprise	109,066	-50.1%	ITSM
Intuit Inc	Medium	Medium	y	n	n	Platform	Consumer/SMB	105,897	-52.9%	FinTech
Workday Inc	Low	Medium	y				rise	36,244	-49.8%	HCM
Creative & Collaboration Software										
Adobe Inc	Medium	Medium	y					106,159	-42.7%	Creative
Atlassian Corp	Medium	Low	y				rise	20,110	-73.7%	Collaboration
Figma Inc	High	High	n					13,612	-78.6%	Creative / Collaboration
Canva	High	High	n				B	Private		Creative
Infrastructure Software										
Microsoft Corp	Low	High	y				rise	2,949,683	-26.7%	AI Infrastructure
Oracle Corp	Low	High	y				rise	425,453	-54.9%	AI Infrastructure
Palantir Technologies Inc	Low	Medium	y				e/Gov	323,163	-34.7%	Database Mgmt
Databricks Inc	Low	High	y				rise	Private		Database Mgmt
Cybersecurity										
Palo Alto Networks Inc	Low	High	n	n	n	Platform	Enterprise	121,339	-32.8%	Cybersecurity
Crowdstrike Holdings Inc	Low	High	n	n	n	Platform	Enterprise	97,965	-30.3%	Cybersecurity
Fortinet Inc	Low	Medium	n	n	n	Platform	Enterprise	59,492	-26.6%	Cybersecurity
Zscaler Inc	Low	High	n	n	n	Platform	Enterprise	25,476	-52.8%	Cybersecurity

Click to Access Full List of 100+ Companies

Source: Bloomberg Intelligence

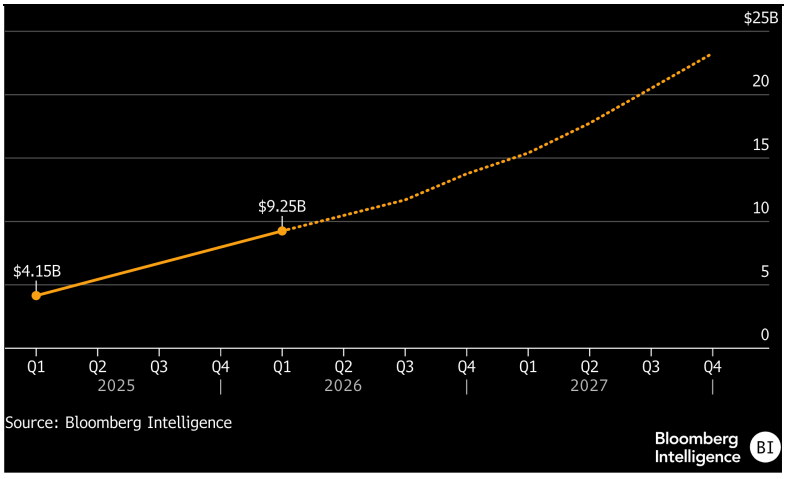
Bloomberg Intelligence

AI Sales Ahead of Most Software, Cloud Rivals

Microsoft's AI sales annualized run rate at the end of March reached $37 billion (about 11% of total annualized revenue), which based on our calculations, can top $105 billion by the end of December 2027 (about 25% of annualized revenue), driven by multiple factors. This figure is higher than most software and cloud rivals and speaks to the breadth and early-mover advantage of the software provider. Microsoft's AI sales exclude ancillary products and services it sells to enterprises, from CPUs and storage to data-fabric software, which are also seeing gains amid increased enterprise AI adoption.

Unlike Amazon Web Services, its biggest rival, Microsoft's AI strategy spans not only infrastructure but also its first-party AI applications like M365 and GitHub Copilots. (09/10/26)

Microsoft AI Annual Recurring Revenue ($)



Source: Bloomberg Intelligence

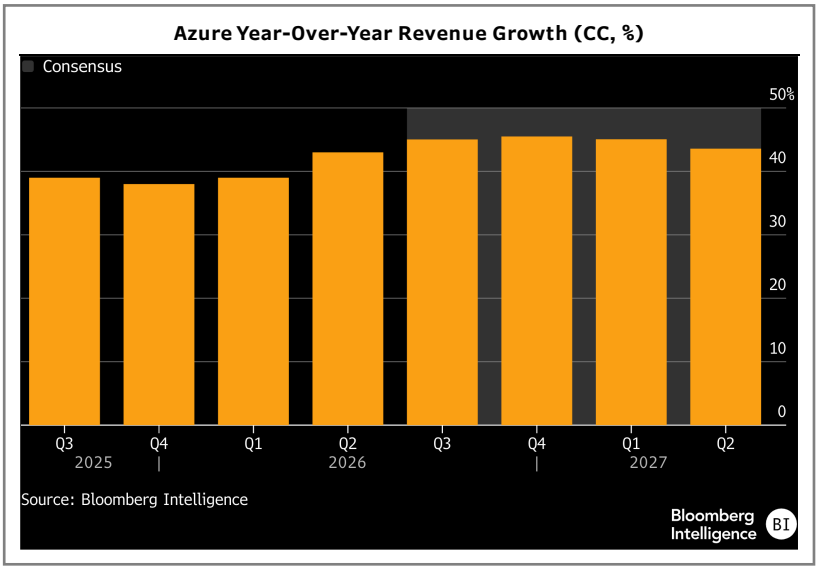
Bloomberg Intelligence

Full-Stack Infrastructure Including Models, Chips

Azure's more than $100 billion in annual sales underscores Microsoft's massive cloud size, while its financial resources give it the ability to procure best-in-class Nvidia GPUs and invest heavily in the data centers, networking and other equipment needed to expand AI capacity. Microsoft is also building its own AI accelerators and CPUs, which may trail the maturity of AWS and Google's custom silicon, yet can increasingly lower infrastructure costs for first-party AI workloads. Over time, we expect these chips to support more customer-facing workloads, further improving Azure's AI economics. (09/10/26)

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Established Portfolio of Enterprise Applications

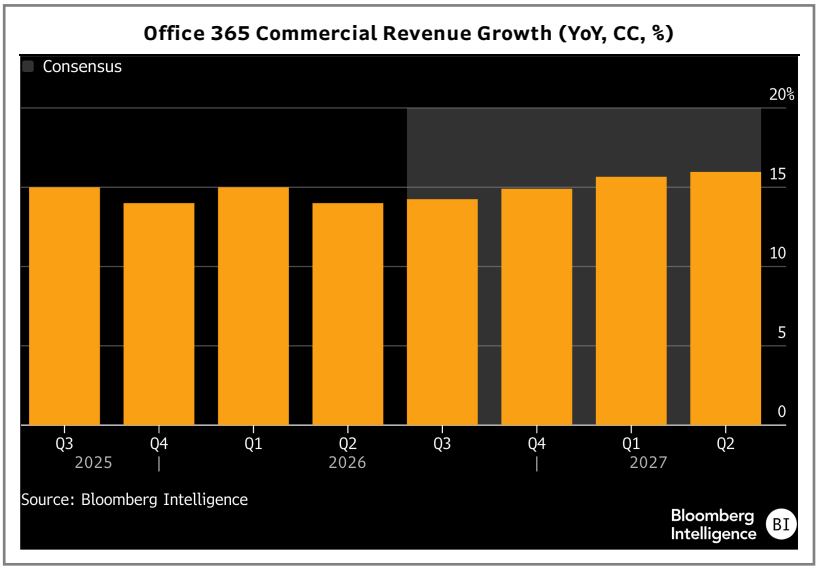
Microsoft has among the most deeply entrenched portfolios of enterprise applications, spanning Excel to Outlook to Teams. We think Teams can be an increasingly important system of engagement, particularly for SMBs, as companies deploy more AI agents and need a common interface where employees can interact with them. At the end of December, paid commercial seats for M365 crossed 450 million. This massive installed base gives Microsoft a significant distribution advantage. Instead of convincing enterprises to adopt entirely new products, it can largely monetize AI through upselling and bundling into applications customers already use.

The M365 E7 suite is priced 74% above E5 and includes Copilot access, providing the company with a straightforward path to monetize AI across its base. Copilot has reached 30 million paid customers, up from 25 million in the prior quarter. GitHub Copilot is another example of an AI-first application with significant existing distribution, while its ability to use Anthropic models in addition to OpenAI highlights an important part of our thesis. As models become increasingly interchangeable, more of the economic value can accrue to the applications and distribution channels that control the end-user relationship.

Microsoft's growing model optionality should further strengthen this position. Eventually, clients may select among OpenAI, Anthropic and other third-party models based on performance and cost rather than be dependent on a single frontier-model provider. Any meaningful breakthrough from Microsoft's own MAI models would be additional upside, potentially lowering inference costs and further reducing dependence on external model providers. (09/10/26)

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Open Models Help AI Diffusion

AWS, Microsoft Power Rises if Open Models Fuel More AI Adoption

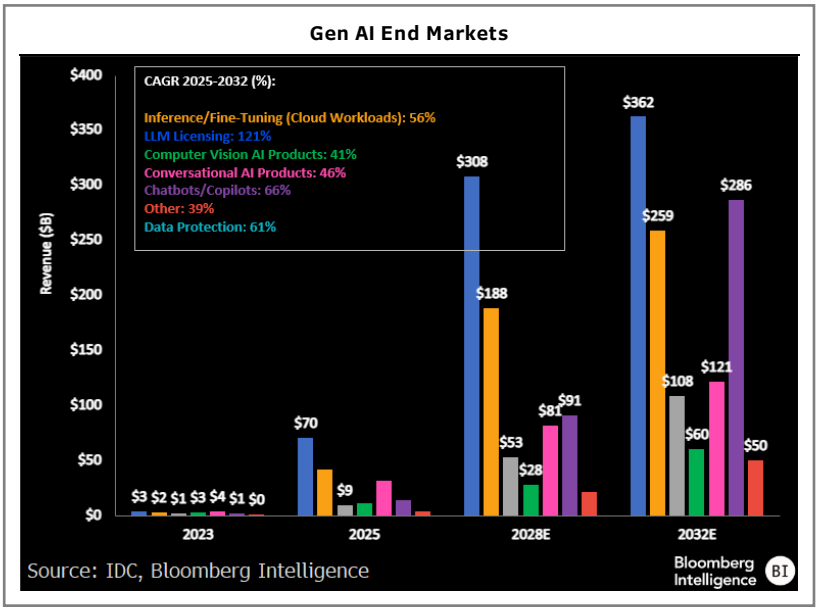
Greater proliferation of open large- and small-language models should be a long-term positive for hyperscale cloud providers, as lower costs, greater model choice and reduced dependency on frontier labs accelerate AI diffusion across industries. The pending $13 billion acquisition of Hugging Face by Nvidia and the recent success of open-weight AI models like Kimi K3 can accelerate the adoption of open models, and AI in general. (09/09/26)

Open Models Good for AI Diffusion Across Enterprises

Open and smaller models could significantly expand the total addressable market for AI workloads as cheaper models accelerate AI adoption across enterprises of all sizes. As the performance gap between models narrows, the key differentiation for inference will likely be security framework, enterprise data, developer tools and distribution. These factors could favor hyperscale cloud providers, which have been working closely with clients for decades. In addition to the recent improvement in the capabilities of open-weight models like Kimi K3 compared to frontier models, the pending acquisition of Hugging Face by Nvidia could accelerate the adoption of open models. (09/09/26)

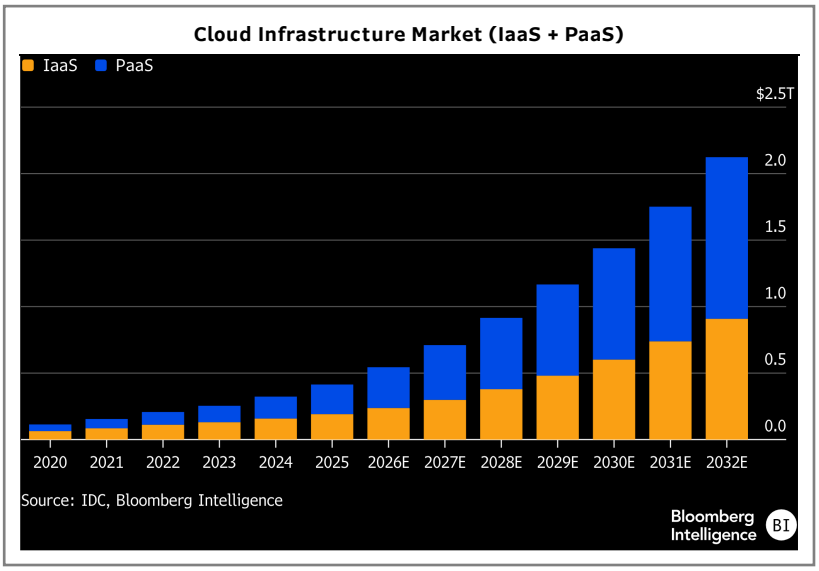
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Cloud Infrastructure May Top $2 Trillion by 2032

Cloud backlog on the balance sheet of the leading tech companies stands at around $2.3 trillion. Out of this amount, frontier model labs account for around $1 trillion in backlog across various cloud providers. If cheaper open and small models accelerate adoption across Fortune 2000 companies, AI infrastructure demand could become much broader and less dependent on a handful of exceptionally large customers. Such a shift would provide greater confidence in our scenario of cloud infrastructure spending to reach $2.1 trillion by 2032, growing annually by 26%. (09/09/26)



Early Evidence of Multiple Model Use in Agents

Over the past few months, our research has uncovered multiple instances of AI-first companies using multiple models to create their own agents, especially smaller models. On Bloomberg Intelligence's Tech Disruptors podcast, Sierra founder Clay Bevor said that its agents are built on a "constellation" of models which in some cases could be around 20 models, with a mix of frontier and non-frontier models. Such an approach derisks the enterprise from being too dependent on just one provider.

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On another podcast, Serval CEO Jake Stauch relayed a similar message, where the company is using both OpenAI and Anthropic models in the background and routes the query to the right model depending on the nature of the inquiry. Our multiple CIO surveys suggest enterprises are pivoting to one main model provider, but we expect this framework to change in the coming years and to follow the multi-model strategy that AI-native software firms are adopting. (09/09/26)

Bloomberg Audio

"We build our agents on top of what we refer to as a constellation of models...And so rather than build our agents on top of a single model, we, for any given agent, may use as many as 10, 15, even 20 separate models. Some of those are frontier models from the labs. Some of those are our own proprietary post-trained models, where we take open- weights models and fine-tune them ourselves for specific tasks. And then we mix and match these models to match the right model to the right task."

Clay Bavor - Co-Founder, Sierra
Tech Disruptors Podcast, Aug. 18, 2026

Click to listen

Model Commodization Positive for Software Industry

Greater model commoditization could ease disruption risks for the software industry, particularly enterprise application providers, whose valuations have fallen sharply in recent years. In a scenario where frontier models are no longer the only game in town, value may shift back to those vendors that have a high market share in their respective categories, as they control distribution and specialize in domain-specific workflows. Some of the companies that stand out include Workday, SAP, ServiceNow, Shopify and Salesforce that are the gold standard in their respective categories, and command high market share.

We have a "low ranking" of AI disruption for the vendors mentioned above in Bloomberg Intelligence's disruption framework. Our matrix looks at factors including the critical nature of the software, the provider's market share, network effects, whether the company is a platform or a point-product provider and if end customers are consumers and small businesses or large corporations. (09/09/26)

AI-Disruption Risk, Opportunity Table

Company Name	AI Disruption Risk	AI Opportunity	Driving Factors: Critical System of Record?	Driving Factors: High Market Share	Driving Factors: Network Effects	Driving Factors: Platform/ Point Solution?	Driving Factors: Main Customer Segment	Market Cap ($M)	Pct Chg from 52-Wk High	Primary Software Category
Application Software										
SAP SE	Low	Medium	y	y	n	Platform	Enterprise	245,915	-37.6%	ERP
Salesforce Inc	Low	High	y	y	n	Platform	Enterprise	173,495	-39.9%	CRM
Shopify Inc	Low	High	y	y	y	Platform	SMB/Mid	164,915	-30.8%	E-Commerce
ServiceNow Inc	Low	High	y	y	n	Platform	Enterprise	109,066	-50.1%	ITSM
Intuit Inc	Medium	Medium	y	n	n	Platform	Consumer/SMB	105,897	-52.9%	FinTech
Workday Inc	Low	Medium	y					36,244	-49.8%	HCM
Creative & Collaboration Software										
Adobe Inc	Medium	Medium	y					106,159	-42.7%	Creative
Atlassian Corp	Medium	Low	y					20,110	-73.7%	Collaboration
Figma Inc	High	High	n					13,612	-78.6%	Creative / Collaboration
Canva	High	High	n					Private		Creative
Infrastructure Software										
Microsoft Corp	Low	High	y					2,949,683	-26.7%	AI Infrastructure
Oracle Corp	Low	High	y					425,453	-54.9%	AI Infrastructure
Palantir Technologies Inc	Low	Medium	y					323,163	-34.7%	Database Mgmt
Databricks Inc	Low	High	y					Private		Database Mgmt
Cybersecurity										
Palo Alto Networks Inc	Low	High	n	n	n	Platform	Enterprise	121,339	-32.8%	Cybersecurity
Crowdstrike Holdings Inc	Low	High	n	n	n	Platform	Enterprise	97,965	-30.3%	Cybersecurity
Fortinet Inc	Low	Medium	n	n	n	Platform	Enterprise	59,492	-26.6%	Cybersecurity
Zscaler Inc	Low	High	n	n	n	Platform	Enterprise	28,476	-52.5%	Cybersecurity

Click to Access Full List of 100+ Companies

Source: Bloomberg Intelligence

Bloomberg Intelligence

Capex Worries Gets Some Relief

Microsoft’s Positive Cash Flow Signals Relief Amid Rising Capex

Microsoft's free-cash-flow commitment for fiscal 2027 and flexibility on AI spending provide near-term reassurance that its record infrastructure build-out can stay financially disciplined. A shift toward shorter-lived assets, greater use of in-house Maia chips and lower-cost models should improve capital

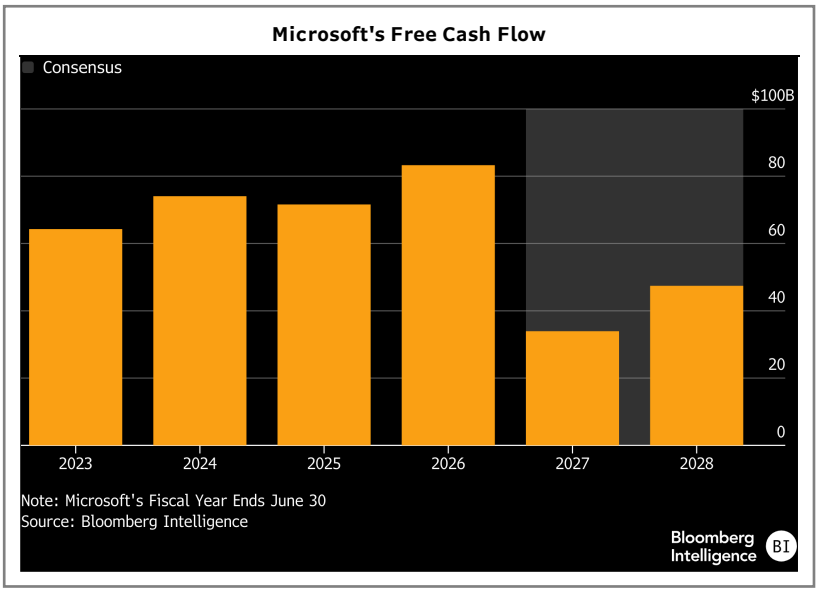
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efficiency, while OpenAI access and the new M365 E7 suite support AI and productivity growth. (08/19/26)

Free-Cash-Flow Positive Promise Offers Near-Term Relief

Microsoft's commitment to stay free-cash-flow positive in fiscal 2027 on its fiscal 4Q26 call provides some near-term reassurance given an unprecedented infrastructure build-out. Management's willingness to flex spending with demand supports our belief that capital-spending growth could moderate over the next two years. The company also extended the estimated useful lives of data centers and office buildings to 25 years from 15, which can shift more future data-center leases to operating from finance classification and lower reported capex. (08/19/26)

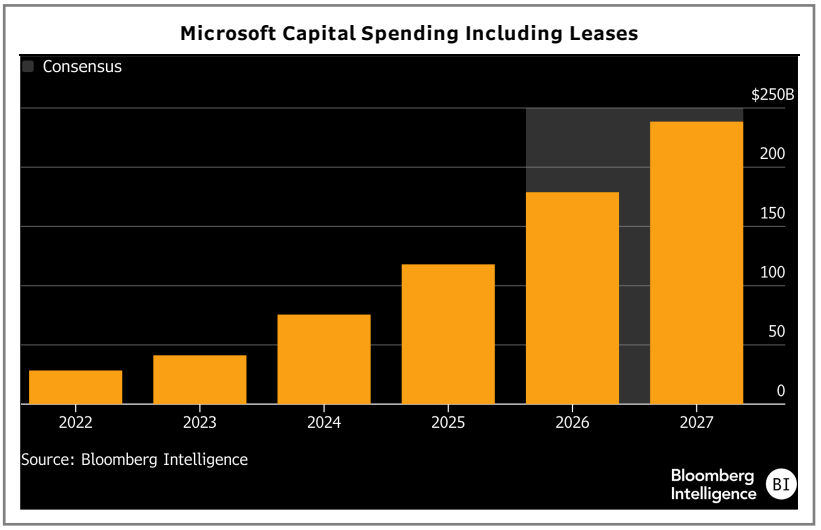


Greater Focus on Short-Term Assets Like GPUs

A large portion of Microsoft's AI-related cash outlay is for relatively short-lived assets, particularly GPUs, servers and other data-center equipment needed to support training and inference workloads. Land and data-center construction is a smaller share of the overall cost structure and offers additional flexibility through changes in build-out timing. For calendar 2027, we anticipate capital spending including leases of $213 billion, up 20% from 2026's $176 billion. (08/19/26)

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New Chip Orders Are Encouraging, Yet Adoption Key

Microsoft's reported plans to substantially increase production of its in-house AI chips are an encouraging development for capital efficiency, reducing reliance on Nvidia and potentially lowering the cost of AI infrastructure. The company has historically trailed Google and Amazon.com in the maturity and adoption of its custom silicon, but a larger Maia production ramp can close that gap.

The more important test will be whether Azure customers increasingly choose Maia-based infrastructure rather than Microsoft primarily using the chips for its own workloads. Broader customer adoption would make internal silicon an important lever for lowering Microsoft's AI infrastructure costs and, ultimately, training and inference costs, supporting wider AI adoption. (08/19/26)

Maia 200 Strengthens Microsoft's AI Cloud Edge

"We also continue to modernize our fleet with our own silicon innovation alongside the latest from Nvidia and AMD. Maia 200 continues to scale. It delivers 30% better performance per dollar than the latest generation hardware in our fleet and is now supporting both OpenAI and MAI models. And we will be among the first cloud providers to deploy next-generation scale AI infrastructure based on AMD Helios and Nvidia Vera Rubin."

Satya Nadella - CEO, Microsoft, Inc.
Q4 2026 Earnings Call, July 2026

Click to view entire transcript

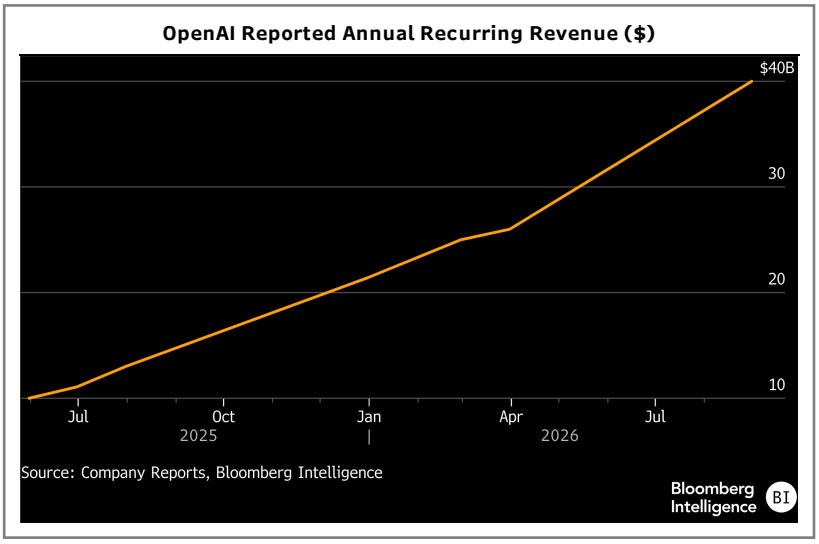
More Emphasis on Lower-Cost Models; Disciplined Inference

Microsoft has sufficient AI-related revenue opportunities that it doesn't need to compete aggressively in raw Nvidia-based infrastructure for model training, particularly given its privileged access to OpenAI models through 2032. As OpenAI's primary cloud provider, Microsoft is also well positioned to capture a significant share of enterprise AI workloads. Management may increasingly emphasize smaller and open-source models for enterprise customers, helping contain rising token costs and improve returns as AI becomes more deeply embedded across corporate workflows.

The May 1 introduction of the new M365 E7 productivity suite provides another potential growth driver for Microsoft. Priced 74% above the previous E5 package, the offering should see solid corporate adoption, supported by the inclusion of Copilot. (08/19/26)

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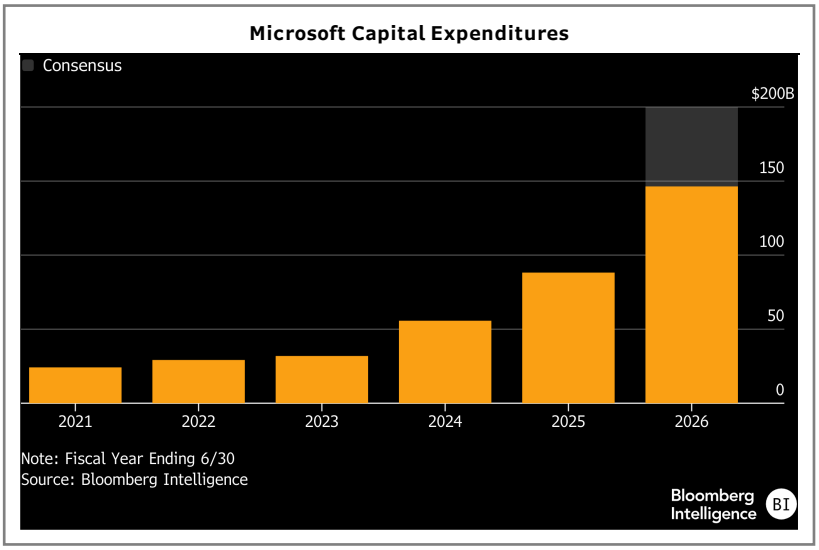
Likely to Surpass AWS in Cloud

Microsoft Cloud Infrastructure Sales Could Pass AWS by 2029-30

Microsoft's strong cloud infrastructure positioning will likely remain intact over the next few years, driven by several factors from increased enterprise AI workloads to greater consumer use of ChatGPT. Our calculations suggest Azure sales will surpass Amazon Web Services over the next 3-4 years and become the top cloud infrastructure vendor, as total industry sales top $1.4 trillion by 2030. (04/21/26)

Growth North of 35% Likely Over 12 Months

Microsoft's $600 billion-plus commercial remaining performance obligation, and elevated spending to bring more capacity online, give us confidence that Azure sales growth in constant currency will likely top 35% over the next 12 months. Capital expenditures (including leases) over the past 12 months have totaled $118 billion with a new Wisconsin data center going live ahead of schedule. In addition to deep integration with OpenAI and being the LLM provider's preferred cloud infrastructure provider, Microsoft has several other growth drivers, from faster proliferation of agents to an increase in the velocity of legacy application modernization. (04/21/26)



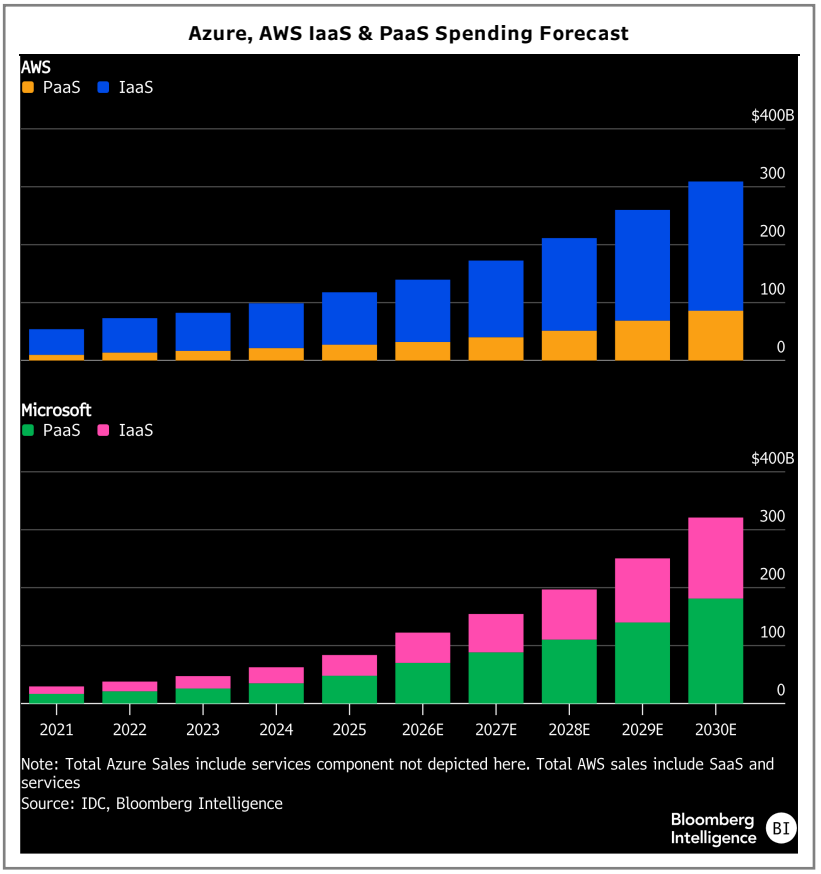
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Likely to Overtake AWS in Sales by 2029-30

As enterprise AI adoption accelerates, we expect Microsoft to get its fair share of workloads, supporting our framework of average sales growth of 32% in calendar 2027 and 28% in 2028, despite OpenAI's recent partnership with Amazon Web Services (AWS). Even with the growing popularity of Gemini and Anthropic models in the past year, OpenAI was the top model of choice for Tech companies in Bloomberg Intelligence's February CIO survey, and November cross-industry study.

Consequently, Microsoft's cloud infrastructure growth rate could stay ahead of AWS for the foreseeable future, with the former passing the industry leader in sales by 2031-32. Our calculations suggest Azure sales will reach $310 billion by calendar 2030, compared with about $89 billion in 2025, representing 29% annual growth. (04/21/26)

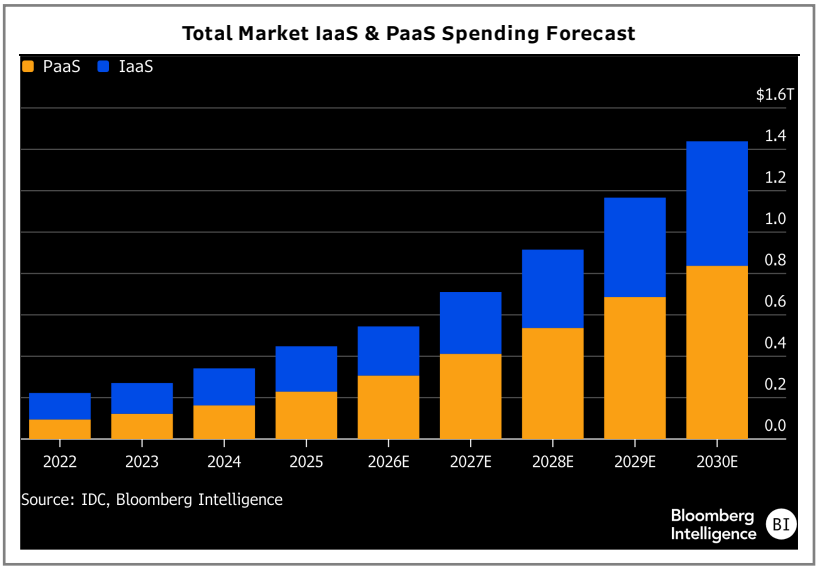


Cloud Infrastructure May Top $1.4 Trillion by 2030

Cloud backlog on the balance sheet of the leading tech vendors currently stands around $1.7 trillion with total capital expenditures for the next 12 months of $750 billion, according to our calculations. Based on these figures and the growth rate of the leading cloud infrastructure companies, our analysis leads to the cloud-infrastructure market -- a combination of infrastructure-as-a-service (IaaS) and platform-as-a-service (PaaS) - to reach $1.4 trillion by 2030, growing annually at 26%. In addition to Microsoft, AWS and Google, we expect strong sales growth for Oracle, CoreWeave and Nebius in the coming years. (04/21/26)

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Xbox Eyes Better Monetization

Xbox Overhaul Shifts Focus to Monetization Amid Content Glut

Contributing Analysts Nathan Naidu (Technology)

Microsoft's Xbox growth is shifting from console adoption to engagement, as Game Pass price sensitivity, content cannibalization and rising hardware costs limit the old business model. AI, cloud gaming, mobile reach and advertising give Xbox more ways to monetize time spent across devices at a time when an industry content glut makes monetization a bigger growth lever than new-title volume. (07/16/26)

Xbox Subscriptions Test Game-Console Economics

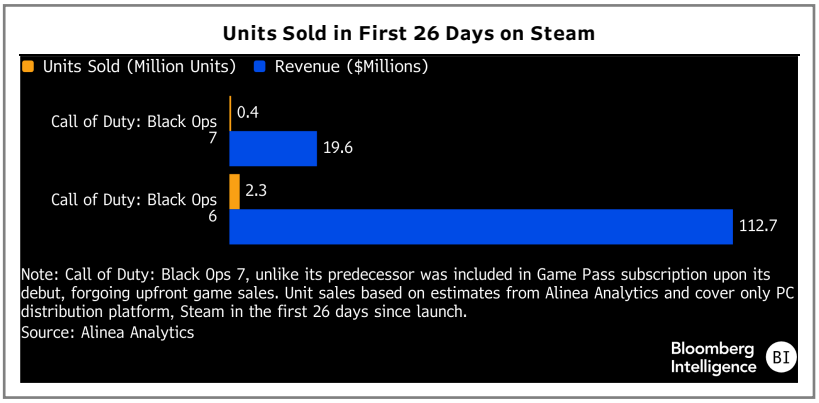
Contributing Analysts Nathan Naidu (Technology)

Xbox's console-subscription strategy is reaching a tougher economic phase as Game Pass growth trails Microsoft's long-term 100-million-user aspiration and day-one access to blockbuster titles raises cannibalization risk. Scaling back that practice for future Call of Duty releases signals that the cost of using premium content to drive adoption is harder to justify. Black Ops 7's weaker sales after its Game Pass inclusion, along with cancellations following a 50% Ultimate price increase, show rising subscriber price sensitivity.

Console economics face added pressure from AI-driven memory and storage inflation, while Xbox's smaller installed base of 34.2 million Series X/S units, compared with an estimated 89.4 million PlayStation 5 consoles by December, limits scale benefits. That points to a console-led model with less room to compound. (07/16/26)

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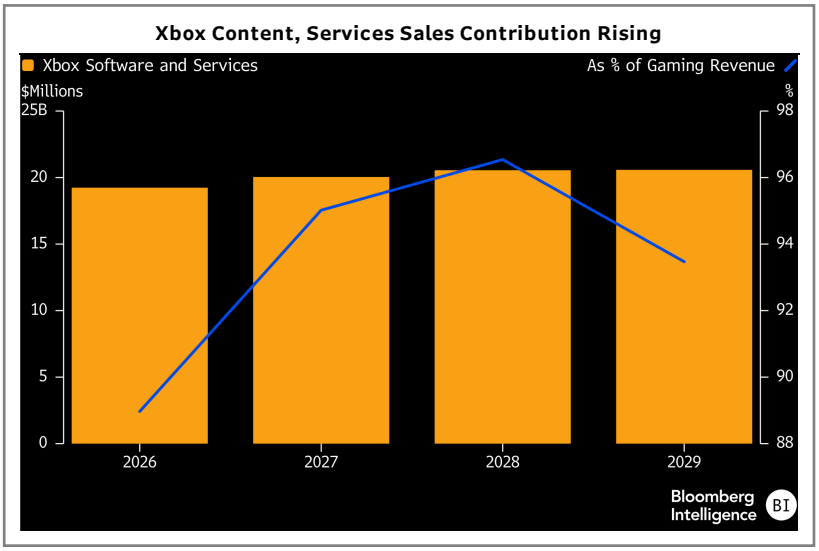


Microsoft Repositioning Xbox for More Engagement

Contributing Analysts Nathan Naidu (Technology)

Microsoft is repositioning Xbox around engagement rather than console share, with Chief Executive Officer Asha Sharma's ambition to reach 1 billion daily users pointing to mobile, discovery and recurring usage as bigger priorities. That King and Mojang report directly to Sharma underscores the value of mobile reach, while Game Pass increasingly acts as a discovery channel rather than just a subscription bundle. A 2025 study tracking more than 14,000 Xbox One and Xbox Series users found that inclusion in a platform subscription service was the single strongest determinant of player engagement.

User-generated content and advertising deepen that shift by giving Microsoft more ways to monetize time spent across devices. The strategy puts Xbox closer to a cross-platform attention business than to a hardware cycle dependent on console replacement. (07/16/26)



AI Firming Foundation for Xbox Cloud Model

Contributing Analysts Nathan Naidu (Technology)

AI gives Microsoft's Xbox shift a stronger economic base by lowering development friction, enabling more user-generated experiences and increasing demand for cloud-native games that are better suited to remote infrastructure than to local hardware. Rising console-production costs strengthen the case for cloud gaming and mobile distribution, especially in emerging markets where dedicated

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hardware is a barrier. Microsoft's advertising push also reflects a model where engagement can be monetized across devices, even when premium console ownership is limited.

AI works as more than a production tool, it supports content creation, discovery and distribution economics that make a cloud-first Xbox strategy more viable. That points to growth tied less to consoles and more to time spent in Microsoft's gaming ecosystem. (07/16/26)

Console Memory, Storage Cost Hikes

"Last fall, we faced what we thought was a peak in storage costs. When we looked at the ledger in February, we were paying double that amount. Today, it has doubled again. Our forecasting models indicate that by the time we approach the holiday 2027 window for Project Helix, the baseline cost for console-grade memory and storage will have increased fivefold from our initial 2025 baselines."

Asha Sharma - Xbox CEO, Microsoft
June 10, 2026
Click to view entire news release

Game Attention Squeeze Puts ARPU in Focus

Contributing Analysts Nathan Naidu (Technology)

Gaming's attention bottleneck makes monetizing existing users a bigger growth lever than new-title volume. Newzoo data showing that only 6% of total playtime is available to new releases, while about 60% of industry revenue and engagement comes from games at least five years old, highlights the advantage of focusing on established brands like Minecraft, Candy Crush and Call of Duty.

As these forever games absorb more player time, customer acquisition for new launches gets costlier and less predictable, which is likely a key rationale behind a planned 20% cut to the Xbox workforce. That shifts the revenue model toward average revenue per user focused on top-performing franchises, with live services, subscriptions, advertising, and user-generated content doing more of the work. (07/16/26)

Share of PC, Console Gamer Attention by Segment

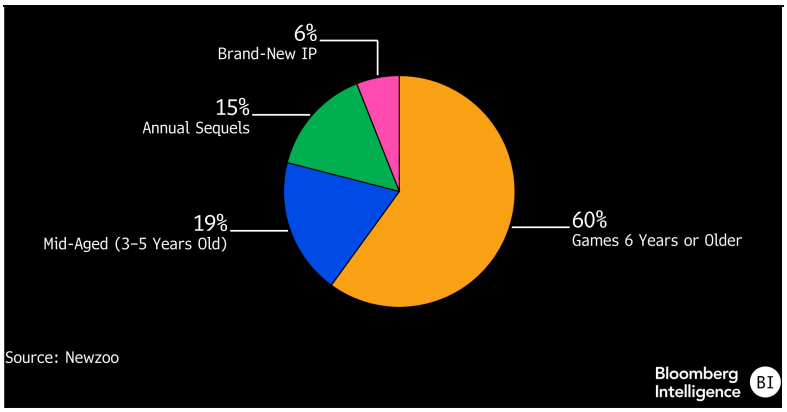


Chart Book

Company

Microsoft's Cloud Charged by AI, the Core Engine to Total Sales

Microsoft is in solid position to capitalize on rising demand for generative-AI applications through its cloud-infrastructure product, Azure, primarily because of its OpenAI alliance. In fiscal 2025, Azure generated more than $75 billion in revenue, or roughly 27% of sales. This is the key driver of Microsoft's Intelligent Cloud segment, which represents 38% of total revenue. Its productivity suite is

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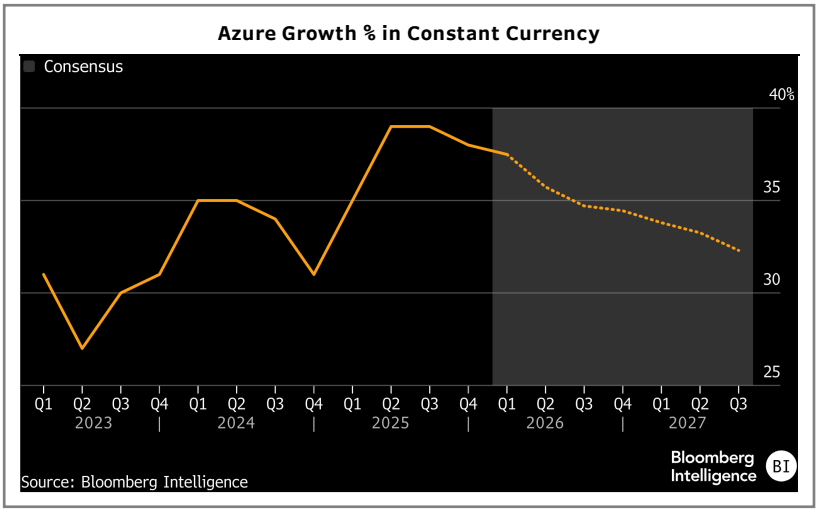
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43% of sales and houses Office and Teams products as well as LinkedIn, which we see as a stable source of cash flow that can fund the company's AI-related capital spending. The More Personal Computing segment makes up the remaining 19% of sales and includes Microsoft's hardware, gaming and search advertising businesses.

To access live data and charts, please click on the links under the images below. (02/27/26)

AI Accelerating as a Proportion of Cloud

(02/27/26)

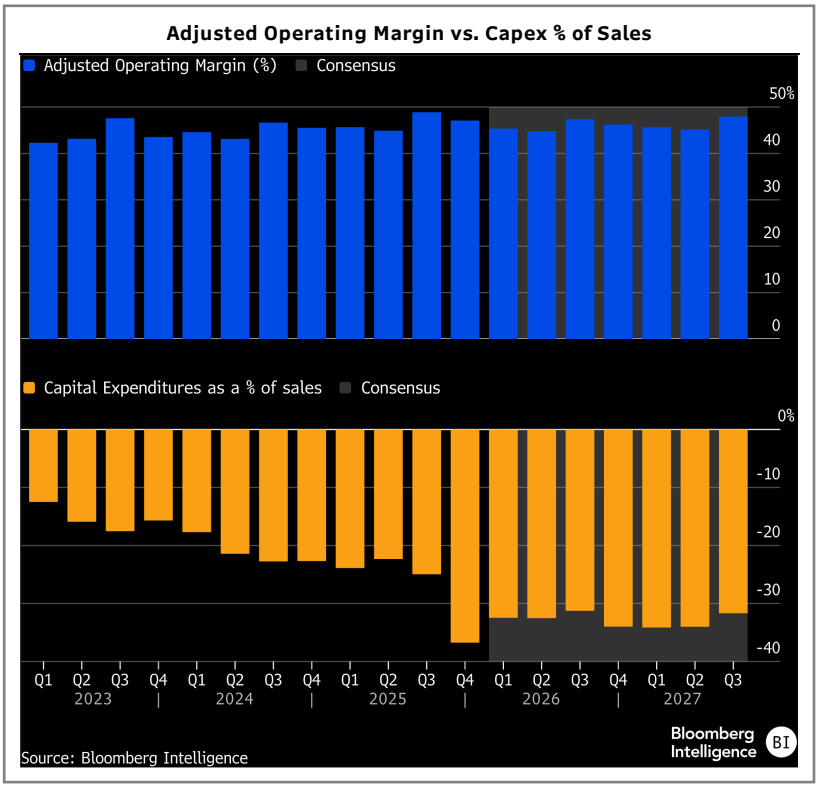


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Capital Spending Increasing to Meet Gen-AI Demand

(02/27/26)

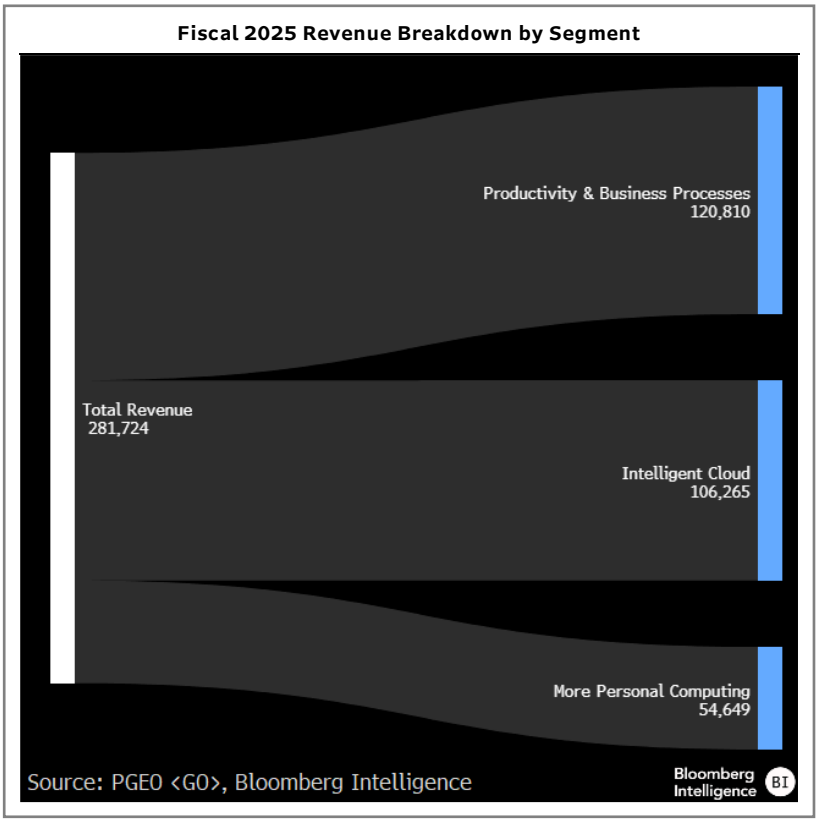


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Growth Led by Cloud, Stabilized by Apps

(02/27/26)



Peers

Microsoft's Cloud Leadership Led by Applications, Gen-AI Tools

Microsoft has the biggest market share in the $1.2 trillion software industry, with total sales of more than $280 billion, and has grown faster than the overall market the past few years due to its cloud products. The company has been closing the gap to Amazon Web Services in cloud infrastructure for more than a decade, and we expect that pace to quicken in 2026-27, propelled by its pact with OpenAI. In office-productivity tools and PC operating systems, Microsoft has the largest share vs. peers.

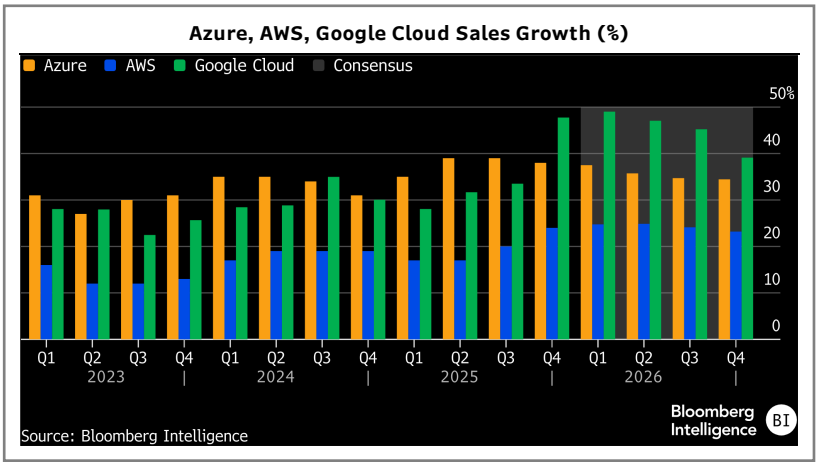
To access live data and charts, please click on the links under the images below. (02/27/26)

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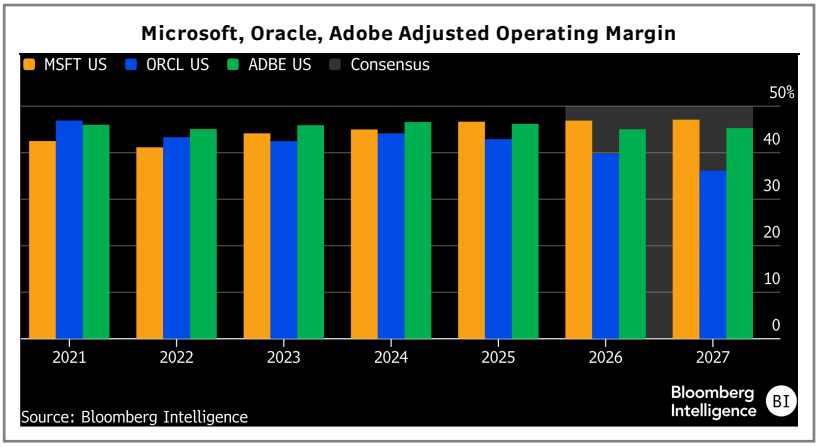
Cloud Growth Outpaces Hyperscale Peers

(02/27/26)



Solid Profitability May Face Capital-Spending Pressure

(03/11/26)



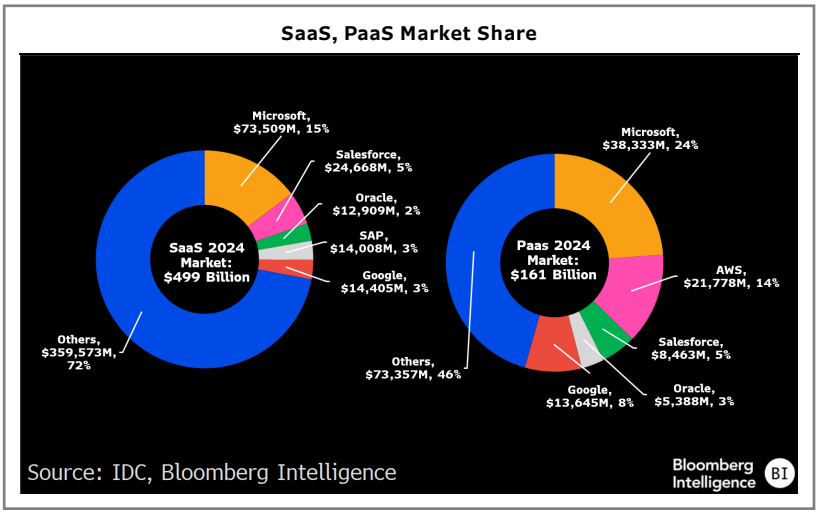
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Bloomberg Intelligence

Largest Participant in Cloud Apps, Platform

(02/27/26)



Credit Primer

Further Cloud Success

Strong as Ever, Microsoft Avoids AI Debt Party: Credit Outlook

Contributing Analysts Robert Schiffman (Credit)

THESIS: Microsoft is on track to spend more than $200 billion on AI and cloud infrastructure in fiscal 2027, more than many hyperscalers, yet its balance sheet remains one of the most conservative. Its Aaa/AAA ratings are better than the US government, and ample liquidity and access to low-cost debt provide best-in-class flexibility. Aside from debt exchanges, Microsoft has been an infrequent issuer since 2017, while hyperscaler peers have raised more than $1 trillion. Strong fiscal 4Q results and a record AI backlog have pushed spreads well inside peers, creating scope to fund higher shareholder returns and AI investment if it chooses to issue tens of billions of dollars in incremental debt.

Though tight valuations may cap excess returns, Microsoft's bonds may be more resilient than peers, even if renewed issuance widens spreads. (07/31/26)

Litigation Primer

OpenAI Ties Top Litigation Risks

Microsoft Legal Risks Span Copyright, Antitrust: Legal Outlook

Contributing Analysts Matthew Schettenhelm (Litigation) & Tamlin Bason (Litigation)

Microsoft's legal exposure is linked in part to its investment in OpenAI. If copyright-infringement defenses fail, legal claims against Microsoft and OpenAI could reach record sums, making a broad content-licensing arrangement likely. Elon Musk's lawsuit against OpenAI, though theoretically imperiling Microsoft's partnership with OpenAI, poses less risk after a jury decided against Musk. An FTC investigation into varied Microsoft business lines is continuing, according to news reports, though it's unclear whether the federal agency will sue. Microsoft will have an edge in court if a fight with the IRS over $28.9 billion in alleged underpayments is litigated.

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The company said it accrued about $553 million in aggregate legal liabilities as of June 30, and adverse outcomes may reach about $400 million beyond recorded amounts. (08/25/26)

Industry Themes

Hyperscaler Capex Moves Higher

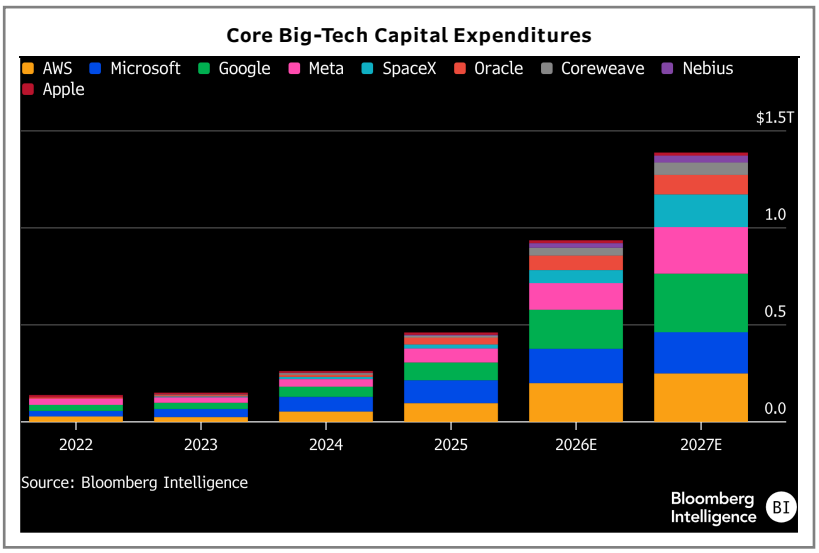
AWS 2027 Capex Could Reach $250 Billion Amid Surge in AI Demand

Cloud infrastructure providers' 2Q results point to a surge in AI usage, supporting our view that hyperscaler capital spending will keep increasing, with our analysis suggesting $1.4 trillion of capital spending in 2027, or 48% more than in 2026. Strong demand for AI infrastructure is reflected in backlog, with new work also coming from non-frontier model companies. We expect AWS capex in 2027 to be around $250 billion and Microsoft capex to be about $212 billion. (10/07/26)

Big-Tech 2026 Capital Outlay Surges to $857 Billion

Strong backlog growth for almost all hyperscale cloud providers leads to the conclusion that capital expenditures for 2026 and 2027 will likely be higher than in our prior scenario. Our data-center model shows aggregate backlog of around $2.5 trillion, which is driving the updated capital-outlay assumption of $1.36 trillion in 2026, a 97% increase compared to 2025. For 2027, our model shows total capex of $2 trillion, growing 37% above the 2025 figure. This includes SpaceX as an additional contributor to spending, compared to the prior assumption.

Focusing on core US hyperscalers plus the major neoclouds leads to a capex expectation of $936 billion in 2026, an annual increase of 103%, and $1.39 trillion for 2027, or year-over-year growth of 48%. The cohort of US companies for this analysis is made up of Microsoft, Amazon Web Services, Google, Meta, Oracle, Apple, SpaceX, CoreWeave and Nebius. (10/07/26)



AWS Could Spend $200 Billion in 2026; $250 Billion in 2027

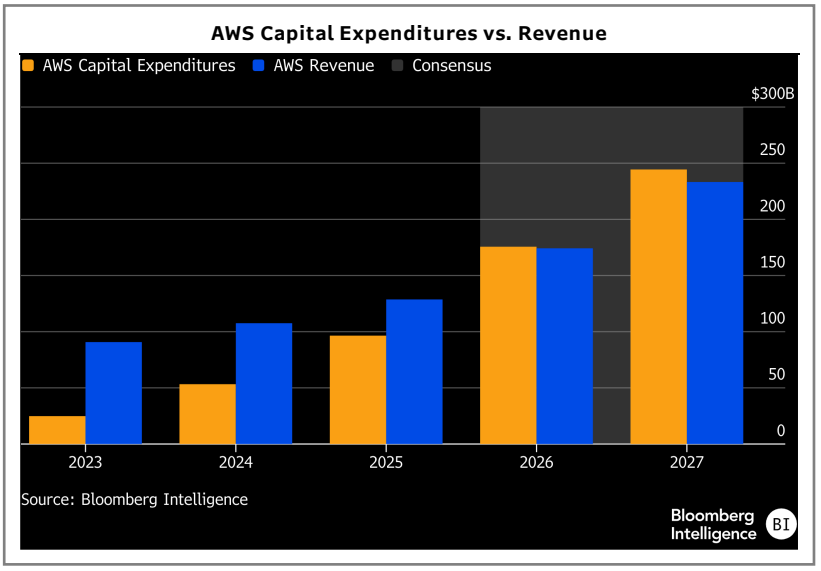
Amazon Web Services (AWS) cloud commitments were $496 billion in 2Q, a sequential rise of $132 billion and up 154% for the year. This sharp backlog increase and rising memory prices have management to lift total capex guidance to $220 billion for 2026. A sharp increase in coding agents and strong revenue growth in Anthropic are some of the key drivers of AWS sales growth, which was

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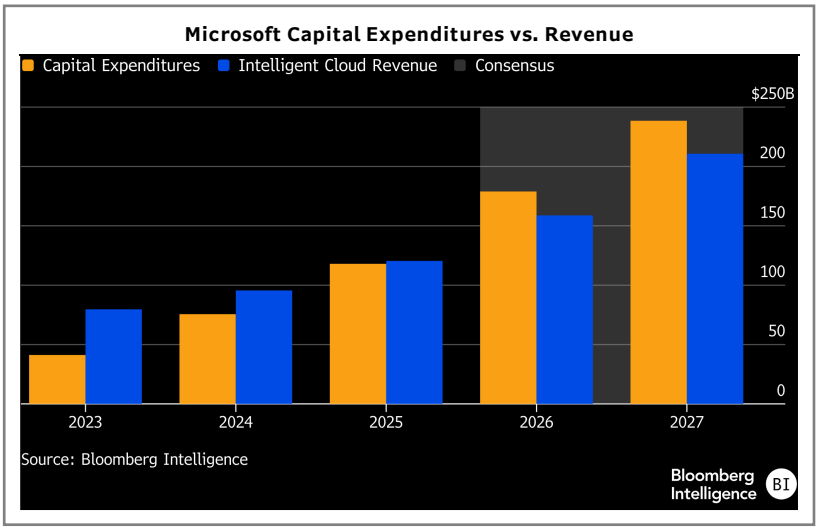
well ahead of consensus for 2Q. Potential larger contributions from OpenAI workloads would mean greater data-center expansion, which leads us to AWS alone spending around 90% of the $220 billion total Amazon capex for 2026, or an increase of 81%.

For 2027, the AWS capital outlay could be $250 billion, representing 25% growth over 2026. (10/07/26)



Microsoft 2026 Capex of $178 Billion; 2027 of $212 Billion

Microsoft's backlog rose to $684 billion in the June quarter, up 82%, as AI workloads from OpenAI and coding agents drove Azure demand and the need for more compute capacity. Underlying infrastructure spending could reach about $178 billion in calendar 2026 and $212 billion in 2027, up 50% and 20%, respectively. Microsoft's lower 2026 capex guidance, to $175 billion from $190 billion, doesn't signal weaker investment, but an accounting change shifted more data-center leases to operating leases, excluding them from reported capex while leaving the underlying expansion plan intact. (10/07/26)

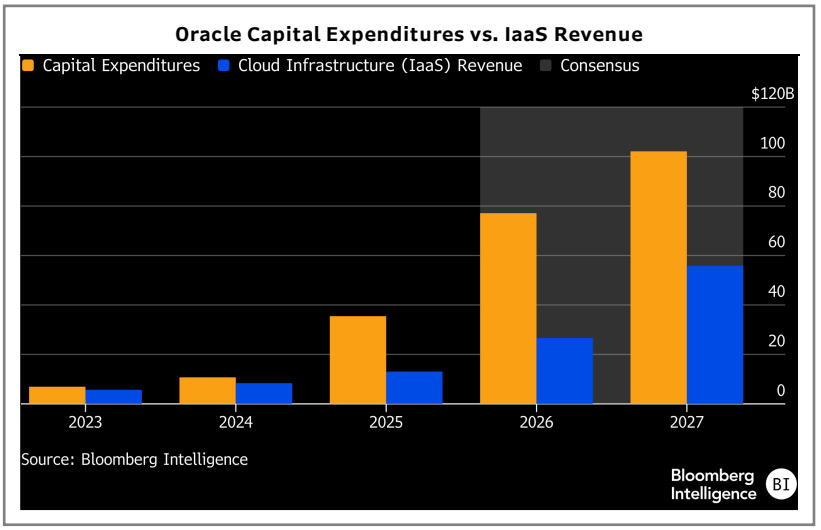


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Oracle AI Backlog Drives Capex Higher

Oracle's remaining performance obligations reached $638 billion in fiscal 4Q, up $85 billion sequentially and 363% from a year earlier, as large AI contracts drive unprecedented demand for Oracle Cloud Infrastructure. This backlog, including commitments from OpenAI, Meta and other large AI customers, could push capital spending to about $75 billion in calendar 2026 and $101 billion in 2027, up 110% and 35%, respectively. The funding burden should rise more slowly than gross infrastructure investment, however, as $75 billion of contracted AI hardware is prepaid or supplied directly by customers. (10/07/26)



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